

Galaxy Backbone Limited (GBB)

INTERNAL AUDIT REPORT

Plot 1510, Cadastral Zone, Abuja, Nigeria

Report Reference	AUD-2026-001
Audit Type	Financial Audit
Audited Entity	Finance Department
Audit Period	01 Jun 2026 to 30 Jun 2026
Report Date	30 April 2026
Classification	CONFIDENTIAL

1. Executive Summary

The Internal Audit department conducted a financial audit of the Finance Department covering Q1 2026 transactions. One high severity finding was identified relating to inadequate segregation of duties in payment processing.

2. Background

Refer to engagement details above.

3. Audit Objectives and Scope

All financial transactions processed by the Finance Department for Q1 2026, covering payments, fixed assets, and bank reconciliations.

4. Audit Methodology

Risk-based audit approach using transaction sampling, document review, and interviews with finance staff. 25 payment transactions were sampled for segregation of duties testing.

5. Summary of Findings

No.	Finding Title	Category	Severity	Status	Due Date
1	Inadequate Segregation of Duties in Payment Processing	financial	HIGH	closed	30 Aug 2026

6. Detailed Findings

Finding 1: Inadequate Segregation of Duties in Payment Processing

Severity	HIGH
Category	financial
Status	closed
Due Date	30 Aug 2026
Auditee	Chisom Okafor

Description: 3 out of 25 sampled payment transactions were prepared and approved by the same individual, violating the maker-checker control requirement.

Root Cause: No system-enforced segregation of duties in the payment processing workflow. Manual controls are insufficient.

Risk Implication: Risk of fraudulent payments being processed without adequate oversight, potentially leading to financial loss.

Recommendation: Implement system-enforced segregation of duties in the payment processing module. No user should be able to both prepare and approve the same payment transaction.

Management Response: We acknowledge this finding. We will implement system-enforced segregation of duties in the payment processing module by July 31st 2026. The IT team has been briefed and a project plan is being developed.

Submitted by: Chisom Okafor on 01 May 2026

Verification Status: verified

Verified by: Bello Adesanya on 01 May 2026

Verification Notes: Segregation of duties controls have been implemented and tested. System now prevents the same user from preparing and approving payment transactions. Finding is verified as resolved.

7. Conclusion

See findings and recommendations above.

Prepared by:

Tunde Bakare
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30 Apr 2026

Reviewed by:

Bello Adesanya
Chief Audit Executive

Approved by:

Fatima Aliyu
